

Executive Summary & Insights

Based on our analysis, the physical size of the property (area) and the number of bathrooms have the strongest positive influence on house prices, followed closely by the presence of air conditioning. In plain terms, our Random Forest model was moderately accurate, explaining roughly 61% of the variance in house prices (R^2 is approx 0.61). On average, its predictions miss the actual selling price by about \$1,025,000. Having a high number of bedrooms was less influential on the overall price compared to having modern amenities like air conditioning or extra bathrooms. For a real estate business, we highly recommend focusing investment on upgrading bathroom fixtures and installing central air conditioning systems prior to listing, as these features yield a much higher market premium than simply adding basic rooms.



